

# Linked products and services

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Consumers often buy products linked to certain services. An example is a mobile telephone, often linked to a contract for network services.

A consumer who has returned products within a reasonable time and is entitled to a refund may also cancel the linked service contract. They can do this when returning the products, or within a reasonable time.

Such contracts do not terminate automatically.

Similarly, if a consumer is entitled to cancel a contract for services that include products, they are also rejecting the products. This means they are entitled to a refund of any money or other type of payment they made for the products.

To get a refund, they must return the products to the supplier. If this involves significant cost, the supplier may have to collect them at their own expense.

### Case Study

*Examples only (outcomes may differ in individual cases):*

Samantha signs up for a package that includes a modem and internet access. She rejects the modem because it turns out to be faulty but chooses to keep her internet connection. Alternatively, she could reject the faulty modem and cancel the connection. A consumer who cancels a linked service contract is entitled to a refund or can refuse to pay for any services not yet received. Suppliers do not have to give a refund for any services the consumer has received up to the time they reject the related products.

Fen subscribes to 12 editions of a cooking magazine for \$200, including \$80 for delivery. She receives only three editions in six months, so cancels the subscription and delivery. The supplier must refund \$150 for nine magazines not received - \$90 for the magazines and \$60 for delivery.

Last updated: 13 October 2023



(<https://www.consumer.vic.gov.au/resources-and-tools/yarrka-barring-resources-for-first-nations-people>)

We acknowledge the Traditional Owners of the lands, seas and skies. We pay our respects to their Elders past and present, and to future generations who will continue to care for Country.



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